

WHY DO I NEED...

A Medical FSA?

WHAT IS IT?



A **Medical Flexible Spending Account (Medical FSA)** helps ease the burden of paying for health care by allowing you to use tax-free money to pay for your family's eligible medical expenses. After you set an election during your company's benefits enrollment period, you have access to that full election (all of the money in the account) on the first day of the plan year.

WHAT IS IT USED FOR?



You can use the money in a Medical FSA for qualified medical expenses. This includes coinsurance and copays, your deductible, dental or vision expenses, and over-the-counter drugs and medicines. Check your Plan Highlights for additional information regarding eligible expenses.

HOW DO I SAVE MONEY?



Just like your health insurance premiums, the money for a Medical FSA money comes out of your paycheck before taxes. That's why Medical FSAs (and other accounts like it) are referred to as "pre-tax benefits."

TAX SAVINGS EXAMPLE

You put \$2,000 into your FSA and are taxed at a rate of 30%. You save \$600 annually.*

CALCULATE YOUR SAVINGS

Annual Election x Tax Rate = Annual Savings

\$_____ x _____% = _____

WHY DO I NEED THIS PLAN?

There are two main reasons to participate in a Medical FSA:

- **It helps with cash flow.** The full annual election is available at the start of the plan year.
- **It's flexible.** Unlike Health Savings Accounts (HSAs) or Health Reimbursement Accounts (HRAs), a Medical FSA doesn't have any specific insurance requirements (or restrictions), so most people are eligible to enroll.



Take the first step — estimate your expenses. What are you likely to spend on medical expenses for the coming plan year? It's a good idea to be conservative in your estimates; you can't change your election after your company's benefits enrollment period ends unless you have a qualifying event. Be sure to check your Plan Highlights to determine the date restrictions on using the funds in the Medical FSA, and estimate your expenses at BenefitResource.com/estimate.

Don't miss open enrollment! You have a limited time to enroll in a Medical FSA. Confirm with your benefits enrollment representative when and how to enroll.

For more information, visit education.BenefitResource.com